

Hedge funds and financial stability: Regulating prime brokers will mitigate systemic risks★

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Abstract

We review key characteristics of the hedge fund industry, and identify conditions under which this sector can pose a threat to financial stability. Direct regulation of hedge funds that increases transparency does not appear feasible, may create a moral-hazard problem, and may reduce market liquidity. Indirect regulation by prime brokers and market discipline by creditors, counterparties, and investors have been effective in limiting the risks from the hedge fund sector. To reduce systemic risks, more regulation of prime brokers is warranted to avoid competitive dynamics from undermining counterparty risk management practices.

Introduction

The credit crisis that has embroiled US and global financial markets since the summer of 2007 has created a number of casualties, most notably three of the top five US investment banks (Bear Stearns, Lehman Brothers, and Merrill Lynch). In hindsight their highly leveraged business model was particularly vulnerable to deterioration in market and funding liquidity. At the same time, it is striking how few hedge funds have suffered the same fate. A widely held view following the collapse of long-term capital management (LTCM) was that hedge funds – as highly leveraged institutions – pose a systemic risk to the global financial system. This view motivated Germany to use its 2007 G8 presidency to push for greater direct regulation of hedge funds—a call that has been repeated in discussions of a new global financial architecture. While hedge funds have suffered as the crisis has progressed with a growing number expected to close in the coming year, unregulated hedge funds have not been the main protagonists during the current crisis. Instead the greatest systemic

risk has come from large complex financial institutions (LCFIs) that are subject to varying degrees of regulation.²

We review key characteristics of the hedge fund industry, and draw lessons from prominent hedge fund failures to identify conditions under which this sector can pose a risk to the global financial system. We argue that direct regulation of hedge funds that increases transparency – whether of counterparty exposures or trading positions – does not appear feasible and may create a moral-hazard problem. It may also make the financial system less resilient by reducing the willingness of hedge funds to act as liquidity providers in times of crisis. We argue that market discipline is effective in leading hedge funds to limit their leverage and manage their exposures. Institutional investors are demanding greater transparency, while investment by managers in their own fund mitigates principal-agent problems and ensures that managers react quickly to market fluctuations.

Regulators should instead increase the regulation of hedge fund counterparties, particularly LCFIs that offer prime brokerage services and employ highly leveraged trading strategies themselves. LCFIs provide indirect regulation of hedge funds and ensure – through the use of collateral and haircuts – that the losses from a hedge fund collapse remain with the fund's investors. An efficient, yet stable, financial system should not prevent a hedge fund failure *per se*. Instead, it should limit the transmission of a hedge fund failure to the broader financial system. Indirect regulation is not eroded by the practice of large hedge funds using multiple prime brokers. Given the degree of concentration in the prime brokerage business, we argue that it is prudent for a large hedge fund to diversify its exposure to a single counterparty. Regulation of LCFIs should ensure that prime brokers maintain rigorous risk management practices, such as holding adequate collateral with suitable haircuts. Both tools may be eroded through competition to attract valuable hedge fund business, increasing the vulnerability of the prime broker to a hedge fund collapse. Regulation should address this potential market failure. As the current credit crisis has shown, the collapse of an LCFI is more likely to pose a threat to financial stability, as seen in the case of Lehman Brothers.

This article is organized as follows. Section 2 highlights stylized facts on the hedge fund sector and outlines direct and indirect channels through which a

hedge fund collapse might lead to systemic risk. Section 3 discusses the relationship between hedge funds and LCFIs. Section 4 reviews the arguments for and against direct and indirect regulation of hedge funds and Section 5 concludes.

Section snippets

Stylized facts on hedge funds

A typical hedge fund is a private investment company that manages the funds of a limited number of wealthy individuals and institutional investors. A high minimum investment requirement, restrictions on withdrawals, and the limited audience (wealthy, “sophisticated” investors) allow hedge funds to remain unregistered and leave managers free to pursue proprietary investment strategies that would be imprudent for a more widely held mutual fund. Hedge funds use aggressive trading strategies

Hedge funds and large complex financial institutions

The review of the channels by which a hedge fund might pose a systemic risk highlights the importance of its counterparties. In particular, the relationship between hedge funds and LCFIs is a potential transmission channel in the event of a shock. Hedge funds and LCFIs have three main relationships: through prime brokerage, as trading counterparties, and as owners and/or managers of hedge funds. These relationships are often overlapping, with one LCFI playing all three roles. We discuss each in

Regulation of hedge funds

Given their growing size and close relationships with LCFIs, the potential damage from a hedge fund collapse may have increased due to the tighter linkages in the global financial system. A case can be made that more direct regulation of hedge funds is warranted. We examine the arguments for direct regulation and the alternative based on indirect regulation and market discipline.

Conclusion

This note has reviewed the potential threat to financial stability from the hedge fund sector, and the case for direct regulation. While hedge fund failures are not uncommon, failures since LTCM have not had systemic implications, most notably the \$6.6 billion failure of Amaranth Advisors. Counterparty risk management practices such as the use of collateral and haircuts have proven effective in limiting the exposure of trading counterparties, notably prime brokers. From a financial stability

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For example, the Basel Committee on Bank Supervision (BCBS) and the Financial Stability Board (FSB) are considering policy options to deal with systemically important firms; similarly the Dodd-Frank Act in the U.S. has created a Financial Stability Oversight Council (FSOC) and will create an Office of Financial Research (OFR). However, before rushing to policy changes, such as requiring financial institutions to higher capital or liquidity requirements, or regulating prime brokers (King and Maier, 2009), it is essential to better understand systemic risk and how it can be measured and monitored. For example, in testimony before the House Oversight Committee of the U.S. Congress, Lo (2008) stated that a formal definition of systemic risk is a starting point for regulatory reform, wherein several quantitative measures of systemic risk should be monitored.

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